Audit Opinions and Next-Year Big 4 Client Transitions

Panel A: Current Big 4 clients (next-year exit)

	MAO	GC	Violation announcement	Unwarned any failure
	(1)	(2)	(3)	(4)
Reported effect	0.304***	0.206**	0.029	0.051
	(0.073)	(0.101)	(0.066)	(0.051)
p	< 0.001	0.042	0.660	0.318
95% CI	[0.160, 0.448]	[0.007, 0.405]	[-0.101, 0.160]	[-0.049, 0.152]
Observations	3,877	3,877	3,877	3,877

Panel B: Current non-Big-4 clients (next-year entry)

	MAO	GC	Violation announcement	Unwarned any failure
	(1)	(2)	(3)	(4)
Reported effect	-0.002**	0.001	-0.002	0.000
	(0.001)	(0.002)	(0.001)	(0.001)
p	0.039	0.544	0.145	0.738
95% CI	[-0.005, -0.000]	[-0.003, 0.005]	[-0.005, 0.001]	[-0.002, 0.003]
Observations	60,917	60,917	60,917	60,917

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.